Setting Up Volume Filters

A guide to **Min Volume**, **Min Cluster Volume**, and how they relate to how much your market actually trades.

1. The one thing to understand first

Every number in these settings is a **contract count**. What counts as "a lot" depends entirely on **how much your instrument trades**:

- **100 contracts** is a *huge* imbalance in a thin market — and barely a blip in a very liquid one.
- So the settings are **not** one-size-fits-all. They scale with the daily volume of the market you're trading.

This is the part most people miss: you're not setting a "right number" in the abstract — you're telling the indicator *"in my market, this is what big enough looks like."*

> Good news: **Adaptive Scaling** already handles the *time-of-day* part of this for you (busy open vs. quiet lunch). You only have to set the level for your **instrument**; the engine handles the **clock**.

2. Two levels: a single imbalance vs. a cluster

Both indicators work in two stages, and there's a setting for each stage.

Min Volume — the single building block

The smallest **one** imbalance (at a single price) that the indicator will even look at. Anything smaller is treated as noise and ignored.

Min Cluster Volume — the stacked structure

A *cluster* is several qualifying imbalances stacked close together in price. **Min Cluster Volume** is the **combined total** of all imbalances in that stack. It's what separates a single passing print from a real, defended zone.

The relationship between the two:

```
single imbalance   →  filtered by  Min Volume
several stacked    →  filtered by  Min Cluster Volume  (the SUM of them)
```

The golden rule that ties them together:

> Min Cluster Volume should be clearly **larger** than (Min Imbalances in Cluster × Min Volume).

Why: if you require 3 imbalances and each only has to clear Min Volume, the smallest possible cluster already equals 3 × Min Volume. Setting Min Cluster Volume *above* that means a cluster only counts when it's genuinely significant — not just three minimum-size prints that happened to land near each other.

Example (VolImbalance defaults): Min Volume 100, Min Imbalances 3 → a bare-minimum stack = 300. Min Cluster Volume is set to **500**, so the cluster has to be meaningfully bigger than the bare minimum to qualify. That gap is intentional.

3. How the two indicators differ

They share the **same filter logic**, but use it for different purposes — so they have different recommended levels.

- **VolImbalance** flags imbalances and imbalance clusters as they happen. It runs a bit **stricter** (higher numbers) — you want only the clearest structures marked.
- **AbsorptionMap** looks for clusters that then get *absorbed* (defended) by resting liquidity. It starts from a **slightly lower** base, because the absorption check that follows does additional filtering on top.

That's why the recommended starting values below are not identical between the two — it's by design.

4. Recommended settings

Starting point (our defaults — tuned for liquid index futures, e.g. NQ)

Setting	VolImbalance	AbsorptionMap
Min Volume	100	50
Min Volume Floor	50	25
Min Imbalances in Cluster	3	3
Min Cluster Volume	500	400
Min Cluster Volume Floor	375	300
Cluster Price Tolerance (ticks)	3	3

The two **Floor** values follow a simple rule we recommend keeping:

- **Min Volume Floor ≈ 50 %** of Min Volume
- **Min Cluster Volume Floor ≈ 75 %** of Min Cluster Volume

(These are the quiet-hour safety lines for Adaptive Scaling — see the Adaptive Scaling guide.)

Adapting to *your* market

Start from the table above, then scale **both** Min Volume and Min Cluster Volume together by how liquid your instrument is:

Your market	Scale the numbers	Example (VolImbalance Min Volume)
Very liquid (e.g. ES, large FX, crude)	**up** ~1.5–2×	150–200
Standard liquid (e.g. NQ)	**as-is** (defaults)	100
Thinner / Micros (MNQ, MES, smaller markets)	**down** ~3–5×	20–35

Keep the **ratio** between Min Volume and Min Cluster Volume roughly the same when you scale — move them together, not independently.

The 60-second tuning loop (no math needed)

1. Load the defaults for your instrument tier above.
2. Watch one normal session.
3. **Too many marks / too cluttered?** → raise Min Volume (and Min Cluster Volume with it).
4. **Too few marks / missing obvious zones?** → lower them.
5. Turn on **Adaptive Scaling** (and load ~5 days of chart history) so the level you just found stays correct all day and overnight.

That's it — you're tuning to what *your* chart looks like, which is exactly what these settings are for.

5. In short

- The numbers are **contracts** — match them to how much your market trades.
- **Min Volume** = one imbalance must be this big. **Min Cluster Volume** = a stack of them, combined, must be this big.

- Keep **Min Cluster Volume above (Min Imbalances × Min Volume)** so clusters mean something.
- Start with our defaults, scale up for very liquid markets, down for thin/micro ones, and let **Adaptive Scaling** handle the time of day.